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BUSINESS

Are Retail Sales Dead? Depends Where You Look

Spending shows signs of life—but only shoppers' chosen stores of the moment

By Suzanne Kapner

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Shoppers enter a TJ Maxx store in Peoria, Ill. PHOTO: BLOOMBERG

American consumers are showing signs of life, but they are choosy about where they shop, based on the mixed bag of retailers' earnings posted Tuesday.

Overall spending has been strong, though more of it is shifting online. Sales at retailers and restaurants in July rose 0.6% from a month earlier, the biggest increase since December, the Commerce Department said Tuesday. Individual retailers missing out on the sales pickup are those struggling with their lineup of merchandise and how it is priced.

Dick's Sporting Goods Inc., calling the retail environment "highly competitive and dynamic," posted a 0.1% uptick in second-quarter sales at stores open at least a year, less than the 2% to 3% increase the company had expected. It also lowered its earnings forecast for the year.

The sporting-goods retailer has sought to benefit from the bankruptcies of rivals City Sports, the Sports Authority and others by capturing leases and intellectual property to boost its market share. But promotions it used to lure customers back to stores have pressured margins.

In a call with analysts, Dick's Chief Executive Edward Stack said the company would benefit from industry consolidation as competitors falter but pricing pressure would likely continue. Dick's shares were off 21% at \$27.42 in afternoon trading.

Coach Inc.'s shares were also punished, falling 14% to \$41.22, after the handbag and accessories maker said its sales fell 1.8% to \$1.13 billion, short of Wall Street's expectations, although the company's latest quarter was one week shorter than the year-earlier period. Sales excluding recently opened or closed retail stores for the Coach brand rose 4% in North America.

Other retailers fared better in their latest quarter. TJX Cos., which has become one of the country's fastest-growing retailers by sticking with a playbook from a vanishing era, said total sales increased 6% to \$8.36 billion. Sales excluding newly opened or closed locations rose 3%, extending a string of gains for the parent company of the off-price chains T.J. Maxx, Marshalls and HomeGoods.

TJX relies heavily on the instincts of its merchandise buyers, many of whom have been with the company for decades. TJX stores rapidly turn over limited quantities of products that are all sold at bargain prices. The result is a rarity in retail—a constant

treasure hunt for shoppers.

TJX CEO Ernie Herrman said the company's sales gains were driven by increased foot traffic. "The customer is clearly telling us that brick-and-mortar retail continues to be an essential part of the shopping experience and certainly when it is executed right with the right values," Mr. Herrman said.

TJX's profit fell to \$553 million for the three months ended July 29, from \$562 million a year earlier. Income was dented by about 4 cents a share because of foreign-currency fluctuations and by lower gross margins because of inventory hedges.

Home Depot Inc. also reported increasing sales, and the chain raised its outlook for the second time this year, saying the long-running boom in the home-improvement market is getting a new lift from millennials and other first-time home buyers.

"We anticipated this happening with millennials coming into an age where they start to form families, children or pets or whatever their family unit might look like—they're moving into homes, which bodes very well for us," Chief Financial Officer Carol Tomé said during a call with analysts.

"There is no recession in sight," she said in an interview.

Along with strong sales of starter homes that often require repairs and renovations, Ms. Tomé pointed to an aging housing stock as contributing to the continued healthy demand. Home Depot's total sales rose 6.2% to \$28.11 billion in its second quarter, while same-store sales rose 6.3%.

TJX shares were off less than 1% at \$70.15, while Home Depot dropped 2.9% to 149.75. Retailers are likely to remain in the spotlight, with Wal-Mart Stores Inc. and Target Corp., scheduled to report results later this week.

—*Ezequiel Minaya and Michelle Ma contributed to this article.*

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